

Even if the Court were to find that the Molinelli Decl. identifies new or different facts, and adequately explains why they could not have been raised earlier, Firefly fails to persuade the Court that permitting it to omit these allegations from a Second Amended Complaint would compel a different conclusion on the Motion to Compel Arbitration.

While the moving papers cite to, and discuss, a proposed Second Amended Complaint, none is included in the moving or reply papers. There is no Exhibit A to either the Support Memorandum or to the Molinelli Decl. in the Court's files. As such, Firefly fails to persuade the Court that both (a) the proposed amendment(s) would *support* a denial of the Motion to Compel Arbitration *and* (b) such denial would be appropriate in light of the sham pleading doctrine.

Based on the foregoing, the request for reconsideration of the 8/6 OAH is DENIED.

Because the order compelling Firefly to arbitrate the action stands, the request for leave to amend the operative complaint should be directed to the arbitrator and not the Court.

****at 1:30 p.m.****

American Canyon I. LLC v. City of American Canyon et al

26CV001286

DEFENDANT CITY OF AMERICAN CANYON'S DEMURRER TO COMPLAINT OF
PLAINTIFF AMERICAN CANYON 1, LLC

TENTATIVE RULING: The parties are ordered to appear and be prepared to address, at a minimum, the following questions:

1. In light of the June 16, 2025 Resolution No. 2026-55 (the "June Resolution"), is the Petition moot?
2. Assuming the Court finds Petitioner's challenge to the decisions taken through the ULL Agreement and HLAT Tax Sharing Agreement (and corresponding County resolutions) are moot, are any of the remaining causes of action ripe for adjudication? For example, are the ULL Agreement, as amended, and the HLAT Tax Sharing Agreement exempt from CEQA and/or "projects" under CEQA?
3. Since the ULL Agreement has been clarified by the June Resolution, wouldn't the best course of action be to allow Petitioner leave to amend the Petition, assuming *arguendo* it can state a ripe claim?

A. PROCEDURAL MATTERS

Respondents and Defendants City of American Canyon and its City Council ("City") demur, pursuant to Code of Civil Procedure section 430.10 subdivisions (e) and (f), to the Verified Petition and Complaint ("Petition") filed by Petitioner and Plaintiff American Canyon, LLC ("AC-1"). On August 14, 2026, Real Parties in Interest the Hess Collection Winery,

Kenneth E & Gail Laird Trust, and American Canyon Holdings LLC (collectively, “RPI”) joined.

The Petition asserts six causes of action: two for Writs of Mandate under both Code of Civil Procedure sections 1085 and 1094.5, and one each for Declaratory Relief, Injunctive Relief, Violation of the California Environmental Quality Act (“CEQA”) (Public Resources Code §§ 21000 *et seq.*), and Violation of the Cortese-Knox-Hertzberg Act (“CKHA”) (Gov. Code, §§ 56000 *et seq.*). The present demurrer challenges the First Cause of Action for Writ of Mandate, Third Cause of Action for Declaratory Relief, Fourth Cause of Action for Injunctive Relief, Fifth Cause of Action for Violation of CEQA, and Sixth Cause of Action for Violation of CKHA.

B. REQUEST FOR JUDICIAL NOTICE

The Court takes judicial notice of City of American Canyon Resolution No. 2026-55, pursuant to Evidence Code section 452, subdivision (b).

C. LEGAL STANDARD

A complaint must contain “facts constituting the cause of action.” (Code Civ. Proc., § 425.10, subd. (a)(1).) “The party against whom a complaint...has been filed may object, by demurrer...to the pleading on grounds [that]...[t]he pleading does not state facts sufficient to constitute a cause of action.” (Code Civ. Proc., § 430.10, subd. (e).)

A demurrer is treated as “admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The Court must “construe the allegations of a complaint liberally in favor of the pleader.” (*Skopp v. Weaver* (1976) 16 Cal.3d 432, 438.) Court must also accept as true facts that may be inferred from those expressly alleged. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405.) The Court may also consider as grounds for granting the motion any matter that is judicially noticeable under Evidence Code sections 451 or 452. (Code Civ. Proc., § 430.30, subd. (a).) Because the demurrer tests “only the legal sufficiency of the pleading...the question of plaintiff’s ability to prove the[] allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Comm. on Children’s Television, Inc. v. Gen. Foods Corp.* (1983) 35 Cal.3d 197, 213-14.)

D. DISCUSSION

City argues that the entire Petition, and every cause of action stated therein, fails to state facts sufficient to constitute a cause of action because the entire Petition is based on the false premise that the agreements at issue in the Petition altered a 2008 City resolution (“Resolution 2008-105”) setting the City’s Urban Limit Line (“ULL”) until 2030. (Dem., 4:2-10.) City contends that the exhibits attached to and made a part of the Petition disprove AC-1’s assertion rendering the entire Petition subject to general demurrer for failure to state any valid causes of action under the laws of the State of California. (*Ibid.*)

Although City uses different titles in its demurrer, City is referring to the following two agreements alleged and attached to the Petition: (1) the Urban Limit Line and Regional Housing Needs Allocation Agreement with Napa County (“2026 ULL Agreement”), attached as Exhibit 9 to the Petition; and (2) the Hess-Laird Affected Territory Property (“HLAT”)¹ Tax Sharing Agreement (“HLAT Tax Sharing Agreement”), attached as Exhibit 11 to the Petition. (Mem., 13:21-25; see also Pet., ¶¶ 41-42.) Both agreements are referred to collectively hereinafter as “Agreements.”

City’s demurrer is based on the proposition that the plain language of the Agreements attached to the Petition does not support AC-1’s allegations made through the Petition—i.e., that City acted outside its municipal authority, and violated Resolution 2008-105,² by approving and adopting the Agreements (see Pet., ¶ 85).

The Court disagrees with the City’s suggestion that its interpretation/characterization of the Agreements is the only reasonable interpretation. It is certainly not clear from the plain language of the Agreements that the 2026 ULL Agreement does not seek to change the ULL and annex the 281 acres at issue (HLAT) here.

The City appears to have acknowledged as much since, two weeks after the instant Petition was filed, the City adopted a resolution to clarify a purported “inadvertent error” in the 2026 ULL Agreement regarding the approval of a ULL amendment. (See Mem., 18:11-14; see also Declaration of Carmen A. Brock, Exh. B.)³

Understandably, since Petitioner did not have the benefit of the June 2026 Amendment, the Petition is almost entirely focused on the City’s purported violation of the Resolution 2008-105. For example, the Petition states:

Because the City and County failed to comply with the 2008 act and governing law, Petitioner petitions this Court for a writ of mandate under Cal. Code of Civil Procedure Sections 1085 and 1094.5, directing the City and the County to vacate and set aside the City’s resolutions, approvals, and agreements that approve the expansion of the ULL in violation of the law. (Petition ¶ 4.)

Petitioner also challenges the City’s adoption of an agreement approving the ULL expansion and the County’s approval of the same agreement, which will serve to annex the additional 281 acres, without proper review under the California Environmental Quality Act (“CEQA”). CEQA applies to the approval of any annexation proposal, given that a development is intended to follow the proposal. There has been no CEQA review for the proposed expansion of the ULL to include the new property intended for development. (Petition ¶ 5.)

¹ The HLAT is defined as “approximately 281 acres currently in the unincorporated County of Napa.” (Pet., p. 7, ¶ 34, fn. 1.)

² Resolution 2008-105 stated, among other things, that “[t]he City Urban Limit Line established by the proposed measure could only be changed by a subsequent vote of the voters of the City at a City election and would remain in effect until January 1, 2030.” (Pet., ¶ 26, citing Exhs. 1, 3.)

³ This Exhibit is the subject of City’s Request for Judicial Notice to which AC-1 did not object.

Petitioner also challenges the City's approval of the ULL expansion without rezoning the territory to be annexed in accordance with the Cortese-Knox-Hertzberg Local Government Reorganization Act of 2000 (the "Cortese-Knox-Hertzberg Act"). Pursuant to the Cortese-Knox-Hertzberg Act, a Local Agency Formation Commission approving an annexation application must require that a city applying for annexation approval rezone the territory to be annexed or take alternative measures. The City did not rezone the territory or take alternative measures that would satisfy the Cortese-Knox-Hertzberg Act. (Petition ¶ 6.)

Petitioner seeks declaratory relief confirming that any expansion of the ULL is not allowed until January 1, 2030, and that any such expansion can only be approved through a vote of the voters. (Petition ¶ 7.)

Petitioner also seeks to enjoin any further approvals, agreements, or actions by the City and the County in furtherance of the attempted expansion of the ULL prior to January 1, 2030 without a vote of the voters, pending the resolution of this proceeding and full compliance with CEQA and California law. (Petition ¶ 8.)

In Opposition, Petitioner appears to concede that the Agreements do not seek to annex the 281 acres in violation of the Resolution 2008-105. However, Petitioner argues that some of its claims are not contingent on the alleged violation.

This leads to the Court to consider whether the current Petition is moot, in its entirety or otherwise, and to pose the questions set forth above. Given these threshold issues as to mootness and ripeness, on which the Court seeks further information in response to its questions above, the Court does not reach City's demurrer to the individual causes of action at this point.

PROBATE CALENDAR – Hon. Joseph J. Solga, Dept. B (Historic Courthouse) at 8:30 a.m.

Conservatorship of Sienna Notaro

26PR000113

PETITION FOR APPOINTMENT OF PROBATE CONSERVATOR OF THE PERSON –
LIMITED CONSERVATORSHIP

APPEARANCE REQUIRED